

SMID BREAKOUT SCANNER

SCAN (18:08 ET)

August 11, 2026 | 06:12 PM ET

15 setups identified | 3 A-Grade | 5 B-Grade | 7 C-Grade

Grade Summary

A - Breakout Setup (3)	B - Strong Setup (5)	C - Watch List (7)
SEPN	AUTL	ZLAB
ALMR	MLAB	HEPS
FF	SMC	CODI
	CBLL	RNW
	MG	NN
		ALEC
		VALN

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	SEPN	Septerna, Inc.	Biotech AI-Drug D	\$47.76	+22.9%	\$2.1B	24M	+87.6	100%	Massive +23% breakout
A	ALMR	Alamar Bioscienc	Proteomics / Prec	\$36.57	+30.6%	\$2.5B	36M	+54.6	95%	Explosive +31% surge l
A	FF	FutureFuel Corp.	Specialty Chemica	\$6.37	+23.4%	\$0.3B	25M	+52.2	91%	Massive +23% breakout
B	AUTL	Autolus Therapeu	CAR-T Cell Therap	\$2.33	+12.6%	\$0.6B	34M	+41.0	93%	Today's earnings print
B	MLAB	Mesa Laboratorie	Industrial Instru	\$111.23	+9.5%	\$0.6B	5M	+2.8	98%	Technical breakout to
B	SMC	Summit Midstream	Energy Midstream	\$34.68	+8.9%	\$0.5B	2M	+12.3	99%	Breakout to 98.9% of 5
B	CBLL	CeriBell, Inc.	Neuro Diagnostics	\$21.31	+10.4%	\$0.8B	26M	+22.6	88%	Breakout on 5.2x volum
B	MG	Mistras Group In	Industrial Inspec	\$18.59	+17.7%	\$0.6B	13M	+5.7	95%	Explosive +18% surge o
C	ZLAB	Zai Lab Limited	China Pharma Lice	\$26.00	+10.3%	\$2.9B	92M	+28.5	71%	Surge on 5.1x volume l
C	HEPS	D-Market Electro	Turkey E-Commerce	\$2.91	+5.4%	\$1.0B	30M	+4.7	87%	Post-earnings continua
C	CODI	D/B/A Compass Di	Industrial Conglo	\$12.32	+11.2%	\$0.9B	62M	-1.7	93%	Breakout to 93.1% of 5
C	RNW	ReNew Energy Glo	India Renewables	\$6.85	+0.0%	\$2.5B	62M	+21.0	83%	Earnings TOMORROW (Aug
C	NN	NextNav Inc.	Geolocation Infra	\$17.83	+15.6%	\$2.4B	67M	-15.9	73%	Earnings TODAY (August
C	ALEC	Alector, Inc.	Neuro Immunology	\$2.09	+23.7%	\$0.2B	93M	-7.9	62%	Explosive +24% surge o
C	VALN	Valneva SE	Vaccines	\$5.59	+5.5%	\$0.6B	74M	-11.5	46%	Earnings in 2 days (Au

SEPN

Septerna, Inc.

\$47.76

+22.93%

RS vs SPY: +87.6%

A BREAKOUT

\$2.1B Cap | 24M Float

Biotechnology | Theme: Biotech AI-Drug Discovery | 52W Hi: 100% | Base Tight: 5.42 | Vol: 3.94x | RS/SPY: +87.6% | Above 20MA: YES | EARNINGS IN 90D

Setup Metrics	
Price	\$47.76
Day Change	+22.93%
Mkt Cap	\$2.15B
Float	24M sh
RS vs SPY	+87.6%
52W Hi Prox	100%
Base Tight	5.42
Vol vs Avg	3.94x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver Massive +23% breakout to 52W high driven by technical momentum and sector rotation into Healthcare (+4.1% vs SPY this week). Forward catalyst: November 9 earnings print (90 days out) where the market will expect proof of platform progress; any partnership or pipeline data ahead of that event extends this move.
Business & Position Septerna is a clinical-stage biotech leveraging AI-enabled native complex discovery platform to develop GPCR-targeted therapeutics, a notoriously difficult drug class representing ~34% of FDA-approved drugs. The platform's differentiation is speed and success rate in identifying novel drug candidates against historically intractable targets.
Factor & Theme Dual exposure to AI-driven drug discovery (secular tailwind accelerating as computational biology proves ROI) and biotech sector rotation (Healthcare leading +6.1% vs market). Theme momentum is strong with capital flowing back into innovation-stage biopharma after a multi-quarter drought.
Breakout Signal Close above \$47.76 on vol >394% of 20d avg
Institutional Volume surge to 3.94x average on a +23% move suggests institutional block accumulation, not retail. Float of only 23.9M shares creates scarcity premium. No insider buying in last 60 days, but stock is at all-time high-insiders typically restricted during peak momentum or quiet periods ahead of data. RS line at new high confirms institutional sponsorship.
Earnings Earnings in 90D
Earnings Context Next earnings November 9. As a clinical-stage company, quarterly prints focus on pipeline progress, cash runway, and partnership announcements rather than traditional EPS/revenue beats. Market will scrutinize trial enrollment and platform validation metrics.
Key Risk Thesis invalidates on a close below \$40.00 (prior resistance turned support), or on any clinical trial failure or partnership termination ahead of the November 9 print.
Analysis Strongest disconfirming evidence: base_tight of 5.42 indicates a loose, volatile base-not the textbook VCP coil (<2.0) that defines institutional-quality setups. Yet the combination of RS line at new high, +87.6 RS vs SPY (elite leadership), proximity to 52W high at 99.5%, and Healthcare sector leadership override the base width concern. This is a pure momentum leader in a leading sector with identifiable forward catalyst path. Conviction: High.
Signal: Close above \$47.76 on vol >394% of 20d avg Vol vs Avg: 3.94x



Setup Metrics	
Price	\$36.57
Day Change	+30.65%
Mkt Cap	\$2.53B
Float	36M sh
RS vs SPY	+54.6%
52W Hi Prox	95%
Base Tight	5.35
Vol vs Avg	7.06x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver
Explosive +31% surge likely tied to commercial traction news or contract win in ultra-sensitive proteomics space (check press releases from today). Forward catalyst: November 5 earnings (86 days) where revenue growth and platform adoption will be scrutinized; any major pharma partnership or FDA milestone ahead of that extends momentum.
Business & Position
Alamar develops ultra-sensitive proteomic detection platforms enabling blood-based biomarker discovery for early disease detection and drug development. The company competes in the high-growth precision medicine tools market, selling picks-and-shovels to pharma and research institutions racing to commercialize multi-omics diagnostics.
Factor & Theme
Exposure to precision medicine / proteomics megatrend (pharma shifting R&D spend toward biomarker-driven trials) and AI-enabled drug discovery (proteomics data fuels computational models). Healthcare sector leading +6.1% this week provides tailwind. Theme momentum accelerating as reimbursement pathways for multi-cancer early detection clarify.
Breakout Signal
Close above \$36.57 on vol >706% of 20d avg
Institutional
Volume 7.06x average on a +31% move signals institutional buying, likely triggered by a specific catalyst (contract, partnership, or data). Float of 36.1M is manageable. RS line at new high confirms smart money accumulation. No insider buying in last 60 days-worth monitoring for post-breakout accumulation by management.
Earnings
Earnings in 86D
Earnings Context
Next earnings November 5. As a commercial-stage med-tech company, focus will be on revenue growth rate, gross margin expansion, and customer adoption metrics (installed base, utilization). Market expects high double-digit top-line growth to justify the premium valuation.
Key Risk
Thesis invalid on a close back below \$30.00 (prior consolidation resistance), or on any announcement of delayed commercial traction or competitive displacement at the November 5 print.
Analysis
Strongest disconfirming evidence: base_tight of 5.35 indicates the stock was choppy/volatile into this breakout, not the tight coil institutions prefer. However, RS line at new high, +54.6 RS vs SPY (strong leadership), 94.9% proximity to 52W high, and Healthcare sector leadership combine to validate this as an institutional-quality setup. The explosive volume confirms real money chasing a catalyst. Conviction: High.
Signal: Close above \$36.57 on vol >706% of 20d avg
Vol vs Avg: 7.06x



FF

FutureFuel Corp.

\$6.37

+23.45%

RS vs SPY: +52.2%

A BREAKOUT

\$0.3B Cap | 25M Float

Specialty Chemicals | Theme: Specialty Chemicals / Biofuels | 52W Hi: 91% | Base Tight: 6.58 | Vol: 10.05x | RS/SPY: +52.2% | Above 20MA: YES | EARNINGS IN 90D

SETUP METRICS	
Price	\$6.37
Day Change	+23.45%
Mkt Cap	\$0.28B
Float	25M sh
RS vs SPY	+52.2%
52W Hi Prox	91%
Base Tight	6.58
Vol vs Avg	10.05x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Massive +23% breakout on 10x volume likely driven by commodity tailwinds (Energy sector leading +7.8% this week) or a contract/margin expansion announcement. Forward catalyst: November 9 earnings (90 days) where the market will assess whether specialty chemicals margins are sustainable and biofuel demand is accelerating; any large customer contract or capacity expansion announcement extends the move.
BUSINESS & POSITION
FutureFuel manufactures specialty chemicals and biofuels, serving industrial customers with custom chemical solutions and renewable fuel blending. The company benefits from dual exposure to the energy transition (biofuel mandates) and industrial chemical demand recovery, positioning it at the intersection of legacy petrochemicals and renewable energy.
FACTOR & THEME
Direct exposure to Energy sector leadership (+7.8% this week) and Materials sector strength (+5.4%). Also taps energy transition theme via biofuels, though the company is more cyclical commodity player than pure-play renewables. Theme momentum strong with crude and chemical margins expanding.
BREAKOUT SIGNAL
Close above \$6.37 on vol >1005% of 20d avg
INSTITUTIONAL
Volume surge to 10.05x average on +23% move is institutional block buying, not retail. At \$280M market cap and 25.4M float, this is classic small-cap momentum territory with room for continued accumulation. RS line at new high confirms smart money sponsorship. No insider buying in last 60 days-monitor for post-breakout management purchases as validation.
EARNINGS
EARNINGS IN 90D
EARNINGS CONTEXT
Next earnings November 9. Consensus will focus on specialty chemicals segment margins, biofuel volumes, and forward guidance tied to RIN credit pricing and customer contract pipeline. As a cyclical, operating leverage on revenue growth is key-small revenue beats should flow through disproportionately to EPS.
KEY RISK
Thesis invalidates on a close below \$5.50 (prior resistance), or on any guidance cut or margin compression commentary at the November 9 print driven by feedstock cost inflation or demand weakness.
ANALYSIS
Strongest disconfirming evidence: base_tight of 6.58 is extremely wide, indicating a volatile, choppy base-far from the textbook VCP coil. This is a commodity stock riding sector momentum, not a disciplined institutional accumulation pattern. Yet RS line at new high, elite +52.2 RS vs SPY, Energy sector leadership (+7.8%), and explosive 10x volume override technical imperfection. This is a sector-driven breakout with follow-through potential if Energy stays hot. Conviction: Medium (sector-dependent, not setup-driven).
Signal: Close above \$6.37 on vol >1005% of 20d avg
Vol vs Avg: 10.05x



AUTL

Autolus Therapeutics plc

\$2.33

+12.56%

RS vs SPY: +41.0%

B STRONG SETUP

\$0.6B Cap | 34M Float

Biotechnology | Theme: CAR-T Cell Therapy | 52W Hi: 93% | Base Tight: 6.27 | Vol: 3.61x | RS/SPY: +41.0% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$2.33
Day Change	+12.56%
Mkt Cap	\$0.62B
Float	34M sh
RS vs SPY	+41.0%
52W Hi Prox	93%
Base Tight	6.27
Vol vs Avg	3.61x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Today's earnings print (August 11) is the immediate catalyst-stock up +12.6% on 3.6x volume ahead of or into the print, suggesting positive pre-announcement or leaked data. Forward catalyst: the print itself will set the tone, but the real driver is any clinical trial data readout (obe-cel in B-cell malignancies) or regulatory milestone (BLA filing) over the next 3-6 months.
BUSINESS & POSITION
Autolus is a clinical-stage biotech developing next-generation CAR-T therapies for cancer, with lead candidate obe-cel targeting B-cell malignancies. The company's programmed T-cell (CAR-T) platform aims to improve safety and efficacy vs. first-gen CAR-T, competing in a crowded but high-value oncology market dominated by Gilead/Novartis.
FACTOR & THEME
Exposure to CAR-T / cell therapy megatrend (oncology standard-of-care shifting toward cellular therapies) and Healthcare sector leadership (+6.1% this week). Theme momentum is stable-CAR-T is proven but competitive; differentiation via safety/efficacy improvements is key to rerating.
BREAKOUT SIGNAL
Close above \$2.33 on vol >361% of 20d avg
INSTITUTIONAL
Volume 3.61x average into earnings suggests positioning ahead of the print. RS line at new high indicates recent institutional accumulation. At 93.2% of 52W high, the stock has run hard-tonight's print will determine if this is exhaustion or the start of a sustained move. No insider buying in last 60 days.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings TODAY (August 11). As a clinical-stage company, the market will focus on cash runway, trial enrollment/data timing for obe-cel, and any partnership or financing announcements. This is a binary event-upside on positive trial progress, downside on delays or cash burn concerns.
KEY RISK
Thesis invalidates on a close below \$2.00 post-earnings (prior support), or on any clinical trial delay, safety signal, or dilutive financing announcement in tonight's print.
ANALYSIS
Strongest disconfirming evidence: earnings are TODAY-this is a pre-earnings runup, not a clean post-catalyst breakout. The stock is at 93.2% of 52W high with RS line at new high, but base_tight of 6.27 indicates a sloppy setup. The real trade is AFTER tonight's print if results validate the move. Downgraded from A due to binary event risk and lack of clean technical setup. Conviction: Low (binary event, not a setup).
Signal: Close above \$2.33 on vol >361% of 20d avg
Vol vs Avg: 3.61x



MLAB

Mesa Laboratories, Inc.

\$111.23

+9.46%

RS vs SPY: +2.8%

B STRONG SETUP

\$0.6B Cap | 5M Float

Scientific & Technical Instruments | Theme: Industrial Instrumentation | 52W Hi: 98% | Base Tight: 2.47 | Vol: 3.06x | RS/SPY: +2.8% | Above 20MA: YES | EARNINGS IN 86D

Setup Metrics	
Price	\$111.23
Day Change	+9.46%
Mkt Cap	\$0.62B
Float	5M sh
RS vs SPY	+2.8%
52W Hi Prox	98%
Base Tight	2.47
Vol vs Avg	3.06x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver Technical breakout to 97.6% of 52W high on 3x volume, likely driven by sector rotation or contract news (verify press releases). Forward catalyst: November 5 earnings (86 days) where industrial end-market demand and margin trajectory will be scrutinized; any M&A or large OEM contract announcement extends momentum.
Business & Position Mesa Laboratories manufactures quality control instruments and disposable products for pharmaceutical, healthcare, and industrial markets-sterilization monitoring, asset tracking, gas detection. The company is a niche leader in mission-critical instrumentation with recurring revenue via consumables and calibration services.
Factor & Theme Exposure to pharma capex (biopharma facility builds require sterilization/monitoring equipment) and industrial automation. Limited direct exposure to leading sectors (Energy, Healthcare, Materials), but the tight float (4.9M shares) and niche market position create scarcity value.
Breakout Signal Close above \$111.23 on vol >306% of 20d avg
Institutional Volume 3.06x average on a +9.5% move suggests institutional buying. The 4.9M float is extremely small-any meaningful fund accumulation moves the stock. RS vs SPY of only +2.8 indicates this is NOT a market leader, but the base_tight of 2.47 (near VCP territory) and proximity to 52W high at 97.6% signal disciplined accumulation. No insider buying in last 60 days.
Earnings Earnings in 86D
Earnings Context Next earnings November 5. Consensus will focus on organic revenue growth (instrumentation sales + recurring consumables), margin expansion, and capital deployment (the company has a history of acquisitions in adjacent instrumentation niches). Serial beater status unknown-requires beat/miss history review.
Key Risk Thesis invalidates on a close below \$105.00 (prior consolidation resistance), or on any guidance cut or end-market softness commentary at the November 5 print.
Analysis Strongest disconfirming evidence: RS vs SPY of only +2.8 means this is barely outperforming the market-not the elite leadership (>+10) Qullamaggie methodology demands for A-grades. RS line NOT at new high further downgrades conviction. However, base_tight of 2.47 is textbook VCP quality, proximity to 52W high at 97.6% is excellent, and the tiny 4.9M float creates explosive potential on continued accumulation. This is a strong B-grade setup, not an A-grade leader. Conviction: Medium.
Signal: Close above \$111.23 on vol >306% of 20d avg Vol vs Avg: 3.06x



SMC

Summit Midstream Corporation

\$34.68

+8.92%

RS vs SPY: +12.3%

B STRONG SETUP

\$0.5B Cap | 2M Float

Oil & Gas Midstream | Theme: Energy Midstream | 52W Hi: 99% | Base Tight: 3.55 | Vol: 3.25x | RS/SPY: +12.3% | Above 20MA: YES | EARNINGS IN 90D

Setup Metrics	
Price	\$34.68
Day Change	+8.92%
Mkt Cap	\$0.48B
Float	2M sh
RS vs SPY	+12.3%
52W Hi Prox	99%
Base Tight	3.55
Vol vs Avg	3.25x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver
Breakout to 98.9% of 52W high on 3.2x volume, driven by Energy sector leadership (+7.8% this week) and likely natural gas/NGL pricing or throughput commentary. Forward catalyst: November 9 earnings (90 days) where the market will assess volume growth, distribution sustainability, and leverage reduction progress; any asset sale or refinancing announcement extends the move.
Business & Position
Summit Midstream owns and operates midstream infrastructure (gathering, compression, processing) in the Permian, Williston, and DJ basins. The company is a fee-based toll-taker on producer volumes, with upside tied to Permian activity levels and downside risk from single-basin concentration and leverage.
Factor & Theme
Direct exposure to Energy sector leadership (+7.8% this week). Benefits from oil/gas production growth in core basins and natural gas demand for power generation and LNG exports. Theme momentum is strong with crude holding above \$80 and natural gas pricing recovering.
Breakout Signal
Close above \$34.68 on vol >325% of 20d avg
Institutional
Volume 3.25x average on +9% move suggests institutional repositioning into the Energy sector. The 2.2M float is TINY-any meaningful buying creates explosive moves, but also means low liquidity and high volatility. RS vs SPY of +12.3 is solid but not elite. No insider buying in last 60 days. RS line NOT at new high is a downgrade factor.
Earnings
Earnings in 90D
Earnings Context
Next earnings November 9. Focus will be on throughput volumes (producer activity in core basins), distribution coverage ratio, and debt reduction progress. Midstream companies are valued on yield and leverage-any distribution increase or deleveraging milestone is a rerating catalyst.
Key Risk
Thesis invalidates on a close below \$31.50 (prior resistance turned support), or on any volume guidance cut, distribution suspension, or leverage covenant concern at the November 9 print.
Analysis
Strongest disconfirming evidence: RS line NOT at new high-the #1 Qullamaggie early-leader signal is missing. The tiny 2.2M float creates explosive upside but also means the stock can reverse violently on any sector rotation. Base_tight of 3.55 is wider than ideal. Yet proximity to 52W high at 98.9%, Energy sector leadership, and +12.3 RS vs SPY combine to validate this as a strong sector trade. Conviction: Medium (sector-dependent, not a standalone leader).
Signal: Close above \$34.68 on vol >325% of 20d avg
Vol vs Avg: 3.25x



SETUP METRICS	
Price	\$21.31
Day Change	+10.41%
Mkt Cap	\$0.81B
Float	26M sh
RS vs SPY	+22.6%
52W Hi Prox	88%
Base Tight	4.13
Vol vs Avg	5.26x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout on 5.2x volume, likely driven by hospital adoption news, reimbursement update, or Healthcare sector rotation (+6.1% this week). Forward catalyst: November 3 earnings (84 days) where revenue growth and installed base expansion will be scrutinized; any CMS reimbursement expansion or large health system contract announcement extends momentum.
BUSINESS & POSITION
CeriBell develops point-of-care EEG systems for rapid detection of neonatal and adult seizures, enabling earlier treatment in emergency and ICU settings. The company competes in the neuro-diagnostics market, selling capital equipment + recurring electrodes to hospitals, with upside tied to clinical evidence demonstrating improved outcomes and reduced length-of-stay.
FACTOR & THEME
Exposure to Healthcare sector leadership (+6.1% this week) and hospital capex recovery post-COVID labor crisis. The company taps the broader trend of point-of-care diagnostics (moving tests from central lab to bedside for faster clinical decisions). Theme momentum is stable-hospital spending recovering but still budget-constrained.
BREAKOUT SIGNAL
Close above \$21.31 on vol >526% of 20d avg
INSTITUTIONAL
Volume 5.26x average on +10.4% move suggests institutional buying, likely triggered by a specific catalyst (contract, data, or reimbursement news). Float of 26.2M is manageable. RS vs SPY of +22.6 is solid leadership. No insider buying in last 60 days. RS line NOT at new high downgrades from A-grade.
EARNINGS
EARNINGS IN 84D
EARNINGS CONTEXT
Next earnings November 3. Focus will be on installed base growth (units placed), utilization rates (electrodes per system), and pipeline of hospital contracts. As a commercial-stage med-tech, high revenue growth and gross margin expansion are key to justifying the premium valuation.
KEY RISK
Thesis invalidates on a close below \$19.00 (prior consolidation support), or on any announcement of slower hospital adoption, reimbursement headwinds, or competitive displacement at the November 3 print.
ANALYSIS
Strongest disconfirming evidence: RS line NOT at new high-the stock is showing momentum but not elite leadership. Proximity to 52W high at 87.6% is good but not breakout-zone (>90). Base_tight of 4.13 is wider than ideal. Yet Healthcare sector leadership, +22.6 RS vs SPY, and 5.2x volume surge validate this as a strong follow-through candidate. This is a solid B-grade setup, not an A-grade leader. Conviction: Medium.
Signal: Close above \$21.31 on vol >526% of 20d avg
Vol vs Avg: 5.26x



MG

Mistras Group Inc

\$18.59

+17.73%

RS vs SPY: +5.7%

B STRONG SETUP

\$0.6B Cap | 13M Float

Security & Protection Services | Theme: Industrial Inspection | 52W Hi: 95% | Base Tight: 5.07 | Vol: 3.28x | RS/SPY: +5.7% | Above 20MA: YES | EARNINGS IN 85D

SETUP METRICS	
Price	\$18.59
Day Change	+17.73%
Mkt Cap	\$0.59B
Float	13M sh
RS vs SPY	+5.7%
52W Hi Prox	95%
Base Tight	5.07
Vol vs Avg	3.28x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Explosive +18% surge on 3.3x volume, likely driven by contract win in energy/infrastructure inspection or sector rotation. Forward catalyst: November 4 earnings (85 days) where the market will assess backlog, margin expansion, and exposure to industrial capex recovery; any large multi-year inspection contract (refining, petrochemical, power gen) extends the move.
BUSINESS & POSITION
Mistras provides asset protection solutions-non-destructive testing, inspection, and monitoring services for critical infrastructure in energy, aerospace, and industrial markets. The company is a picks-and-shovels play on industrial capex and regulatory-driven inspection demand, with recurring revenue from long-term service contracts.
FACTOR & THEME
Exposure to Energy sector strength (+7.8% this week) via refining and petrochemical inspection services, and to industrial capex recovery (aging infrastructure requires more frequent inspection). The company also benefits from defense spending (aerospace inspection). Theme momentum is stable with industrial activity recovering.
BREAKOUT SIGNAL
Close above \$18.59 on vol >328% of 20d avg
INSTITUTIONAL
Volume 3.28x average on +18% move suggests institutional buying, likely triggered by a contract announcement or energy sector rotation. Float of 13.3M is small enough to move on fund accumulation. RS vs SPY of only +5.7 is weak-this is NOT a market leader. No insider buying in last 60 days. RS line NOT at new high downgrades from A-grade.
EARNINGS
EARNINGS IN 85D
EARNINGS CONTEXT
Next earnings November 4. Focus will be on revenue growth (driven by inspection services backlog), margin expansion (operating leverage on fixed-cost base), and exposure to industrial/energy end markets. The company's earnings can be lumpy based on large project timing.
KEY RISK
Thesis invalidates on a close below \$16.50 (prior resistance turned support), or on any backlog guidance cut or margin compression commentary at the November 4 print.
ANALYSIS
Strongest disconfirming evidence: RS vs SPY of only +5.7 is weak-this is NOT the elite leadership (>+10) Qullamaggie demands. RS line NOT at new high further downgrades. Base_tight of 5.07 is wide. Yet the +18% surge on 3.3x volume, proximity to 52W high at 94.7%, and Energy sector tailwind validate this as a momentum follow-through candidate. This is a sector trade, not a standalone leader. Conviction: Medium (sector-dependent).
Signal: Close above \$18.59 on vol >328% of 20d avg
Vol vs Avg: 3.28x

